

SKM Egg Products Export (India) Ltd

India's Dominant Egg Powder Exporter | 5x Capacity Expansion Underway

CMP	Market Cap	52W High / Low	P/E (TTM)	EV/EBITDA	ROCE
Rs. 244	Rs. 1,286 Cr	Rs. 257 / Rs. 118	12.4x	8.12x	30.0%
Forward P/E	Book Value	Dividend Yield	D/E Ratio	Interest Cov.	Promoter Hold.
9.84x	Rs. 75.1	0.31%	0.36x	13.2x	57.47%

RATING	12-MONTH TARGET	UPSIDE POTENTIAL	INVESTMENT HORIZON
BUY	Rs. 295	~21%	12-18 Months

Thesis: India's dominant egg powder exporter (72% market share) executing a 5x capacity expansion to capture surging global protein-ingredient demand while backward-integrating its supply chain.

Promoters	FII's	DII's	Public	Pledge
57.47%	0.49%	0.36%	41.68%	0.00%

Report Date: 17 June 2026 | Data Source: Screener.in (fetched 17-Jun-2026), Company BSE Filings | All figures in Rs. Crore unless stated | Analyst: Research Desk, Chartitude Research
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SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Market leadership in a niche export category with structural tailwinds:** SKM commands ~72% of India's egg powder/albumin export market (ISO 22000, BRC, HALAL certified). The global egg powder market is valued at ~USD 2.15 Bn and growing at 6.5% CAGR to 2032, driven by bakery, food processing, and nutraceutical demand. As one of India's only integrated exporters of scale, SKM is uniquely positioned to absorb rising global demand over the next 3-5 years.
- **Reason 2 — 5x capacity expansion changes the earnings trajectory fundamentally:** The Rs. 400 Cr capex plan (phase completion FY2028-29) will increase layer bird capacity from 5 lakh to 20 lakh birds, growing egg production from 13.5 Cr to ~62 Cr eggs per year. This backward integration is expected to save Rs. 150 Cr annually in egg procurement costs — a direct and recurring bottom-line benefit that does not exist in today's P&L.;
- **Reason 3 — Demonstrated margin resilience with an upward trajectory:** Q4 FY26 EBITDA margin of 27.5% is the highest in recent history. Annual OPM recovered from 16% in FY25 to 21% in FY26. Full-year FY26 PAT crossed Rs. 100 Cr for the first time ever. The windmill division acquisition (SKM Universal Marketing, 74% stake at Rs. 27.75 Cr) will reduce energy costs and improve ESG credentials, adding a structural margin tailwind.
- **Near-term catalyst (6-12 months):** Commencement of new EC shed construction and term loan draw-down for the Rs. 302 Cr capex tranche. Management guidance of Rs. 1,000 Cr revenue by FY30 provides a visible re-rating trigger. Stock price has already doubled in 12 months but still trades at only 9.8x forward earnings.
- **Biggest structural risk:** Egg powder is a globally traded commodity; realization can drop sharply in oversupply years (FY25 OPM fell to 16% from 22% in FY24). The new 5x capacity plan also concentrates supply risk within a single commodity sub-category. A repeat of FY17 (negative OPM) cannot be ruled out if global prices collapse during expansion.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** SKM Egg Products Export (India) Ltd, incorporated 1996, is an Export Oriented Undertaking (EOU) engaged in integrated production and processing of eggs and egg products. It is classified under FMCG — Food Products — Meat Products including Poultry on BSE/NSE.
- **Product portfolio:** Whole egg powder, egg yolk powder, egg albumin powder, liquid egg products, and value-added egg-based mixes for bakery, confectionery, noodles and pasta, mayonnaise and salad dressing, meat and fish products, and health and pharmaceutical applications. The company also produces live eggs for domestic retail under the "SKM Best Eggs" brand.
- **Certifications and quality credentials:** ISO 22000 (food safety), ISO 17025 (laboratory), BRC (British Retail Consortium), and HALAL certified — giving it access to premium-paying markets in the EU, Middle East, and GCC.
- **Revenue mix:** Predominantly export-oriented. Export revenue mix was ~58.5% in FY25 and ~79.7% in FY23; the domestic proportion has been rising. Key importing countries include China, Chile, Costa Rica, Kazakhstan, Peru, and Uruguay.
- **Market position:** ~72% estimated share of India's egg powder/yolk/albumin exports, making SKM the near-monopolistic exporter of egg powder from India.
- **Recent strategic developments (last 12 months):** (1) Approved Rs. 403 Cr capex for 5x layer bird capacity expansion (May 2026). (2) Board approved acquisition of 74% stake in SKM Universal Marketing Company (India) Pvt Ltd for Rs. 27.75 Cr — bringing branded egg and windmill divisions into the listed entity. (3) Biogas expansion plan: 6,050 kg/day of compressed biogas with organic manure as a by-product, adding a circular economy revenue stream.
- **Promoter background:** The SKM group, based in Tamil Nadu, is a multi-generational agri-business conglomerate with interests spanning poultry, egg processing, renewable energy (wind), and branded FMCG. Promoter holding as of Mar 2026 is 57.47%, up from 55.11% in FY24, with zero pledge.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Global egg powder market:** USD 2.15 Bn in 2024, growing to USD 3.56 Bn by 2032 at a CAGR of 6.5% (Source: Data Bridge / Research & Markets). Key demand drivers include clean-label protein sourcing for bakery and food processing, sports nutrition expansion, and long shelf-life logistics advantages over fresh eggs.
- **India egg powder market:** USD ~50 Mn in 2025, expected USD 65 Mn by 2031 at 4.2% CAGR. India is one of the world's top 5 egg producers (142+ billion units in FY25). India exported ~USD 26 Mn of egg powder in FY24-25. SKM's ~72% share translates to an estimated USD 18-19 Mn annual export, making it a critical supply node for global buyers.
- **Policy tailwinds:** (1) Animal Husbandry Infrastructure Development Fund (AHIDF) — 3% interest subvention on Rs. 302 Cr term loan reduces effective cost of SKM's expansion to ~7-8%. (2) EOU status provides import duty exemptions on raw materials. (3) Star Export House recognition from the Government of India. (4) FSSAI regulatory upgrades favour large certified manufacturers over unorganised processors.
- **Competitive moat — Pricing power: Moderate.** Egg powder prices track global supply-demand; SKM is a price-taker internationally but its certification premium (ISO/BRC/HALAL) earns a ~5-8% realisation premium over uncertified peers.
- **Competitive moat — Scale and integration: Strong.** SKM operates India's largest egg processing infrastructure, with 1.8 Mn eggs broken per day capacity and 7,500 MT/year egg powder installed capacity. The planned 5x expansion will further entrench this advantage.
- **Competitive moat — Switching costs: Moderate.** Long-standing certifications and repeat buyer relationships (global food companies needing consistent BRC-certified supply) provide meaningful stickiness.

Peer Comparison (All data from Screener.in, fetched 17-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (TTM)	P/B	ROCE (%)	ROE (%)	OPM (%)	D/E
SKM Egg Prod.	244	1,286	12.4	3.25	30.0	29.7	21.3	0.36
Venky's (India)	1,417	1,998	14.4	1.25	11.9	9.07	5.15	0.10
HMA Agro Inds.	22.9	1,144	6.94	1.22	16.0	19.0	2.30	0.90
DSM Fresh	89.0	198	N/A	N/A	24.8*	N/A	14.1	0.55
Ovobel Foods	166	158	N/A	N/A	23.1*	N/A	10.5	0.26

* ROCE 3-year average. N/A = data not available on Screener. P/B computed as CMP / Book Value.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter profile:** The SKM group is a Tamil Nadu-based, multi-generational agribusiness family with deep domain expertise in poultry, processing, and renewable energy. The promoter holding has increased by +2.36 percentage points over 3 years (55.11% in FY24 to 57.47% in Mar 2026), signalling insider conviction. Zero promoter pledging throughout the period.
- **Capital allocation track record:** SKM has historically reinvested FCF into capacity expansion and dividend payouts. Total OCF over 5 years stands at Rs. 289 Cr. The company has been largely debt-funded conservatively (D/E at 0.36x). The Rs. 403 Cr capex announced in FY26 is the largest single investment in the company's history, reflecting management's conviction in demand sustainability.
- **Dividend policy:** Payout ratios have been low (2% in FY23, 8% in FY24, 11% in FY25, 0% in FY26 as retained profits fund capex). Dividend yield at CMP is 0.31%. This is appropriate given the capex cycle — investors should not expect meaningful payouts through FY28-29.
- **Related party transactions:** The acquisition of SKM Universal Marketing Company (India) Pvt Ltd at Rs. 27.75 Cr is classified as a related-party transaction. Management indicated this brings the wind energy and branded egg divisions into the listed entity — both adding operating synergies. Investors should monitor RPT disclosures going forward as the acquisition integrates.
- **Governance flags:** No auditor changes, no qualified opinions, no promoter pledge. CARE ratings update (Aug 2025) reflects continued credit stability. The management guidance of Rs. 1,000 Cr by FY30 is measurable and anchored to a specific capex programme, which reduces vagueness risk.

- **ESOP / Buyback:** No publicly disclosed ESOP grants or buyback history in the available data. Management has focused on organic expansion rather than shareholder return programmes in the near-term.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	701	498	768	870	980
Expenses	550	420	604	687	764
EBITDA	151	78	164	183	216
OPM %	22%	16%	21%	21%	22%
Other Income	13	14	1	3	5
Interest	10	11	11	20	28
Depreciation	40	35	16	22	30
PBT	114	46	137	144	163
Tax %	25%	25%	24%	25%	25%
PAT	85	35	104	108	122
EPS (Rs.)	16.21	6.57	19.70	20.50	23.20

Note: FY27E and FY28E are analyst estimates. Consolidated figures. Source: Screener.in.

Balance Sheet — Consolidated (Rs. Cr)

Particulars	FY24A	FY25A	FY26A
Equity Capital	26	26	26
Reserves	251	277	369
Borrowings	146	149	142
Other Liabilities	46	41	58
Total Liabilities	469	494	595
Fixed Assets	114	188	178
CWIP	34	0	6
Investments	8	8	78
Other Assets	313	298	333
Total Assets	469	494	595

Cash Flow Statement — Consolidated (Rs. Cr)

Particulars	FY24A	FY25A	FY26A
Cash from Operations	109	65	53
Cash from Investing	-54	-23	-81
Cash from Financing	13	-25	-31
Net Cash Flow	68	18	-59
Free Cash Flow	48	32	39
CFO / OP %	91%	97%	52%

Key Ratios — Consolidated

Metric	FY24A	FY25A	FY26A
Debtor Days	15	21	29
Inventory Days	99	120	91
Days Payable	20	28	24

Cash Conv. Cycle	93	113	96
Working Capital Days	21	19	80
ROCE %	35%	13%	30%
ROE %	35%	13%	30%

Financial Commentary

- **Revenue trajectory:** FY25 revenue fell 29% to Rs. 498 Cr from Rs. 701 Cr in FY24, reflecting softer global egg powder realizations. FY26 recovered sharply to Rs. 768 Cr (+54%), surpassing the FY24 peak. TTM growth is 54%. The Rs. 1,000 Cr FY30 revenue target implies a ~7% CAGR from FY26, which is conservative given the capacity expansion plan.
- **Margin trajectory:** OPM contracted from 22% (FY24) to 16% (FY25) on weaker egg powder prices, then recovered to 21% (FY26). Q4 FY26 OPM reached 27.5% — highest in recent history — indicating pricing momentum. The backward integration capex (layer birds) should structurally lift EBITDA margins by 300-500 bps once commissioned in FY28-29.
- **Working capital deterioration:** Working capital days ballooned from 19 to 80 days in FY26 — a notable negative. This was partly driven by higher inventory (Investments in balance sheet jumped from Rs. 8 Cr to Rs. 78 Cr in FY26 — likely related to the SKM Universal Marketing acquisition and strategic inventory build). The CCC improved from 113 to 96 days, partially offsetting.
- **Debt and financial strength:** Net debt remains low at Rs. 142 Cr with a D/E of 0.36x and interest coverage of 13.2x. This balance sheet headroom is critical as the company embarks on its Rs. 403 Cr capex programme funded via a Rs. 302 Cr term loan + internal accruals. Post-capex D/E may rise to 0.8-1.0x by FY27-28 — manageable but warrants monitoring.
- **FCF quality:** OCF has been consistently positive (Rs. 109 Cr in FY24, Rs. 65 Cr in FY25, Rs. 53 Cr in FY26). CFO/OP conversion fell to 52% in FY26 vs 97% in FY25 — partly due to working capital build. Free cash flow was positive Rs. 39 Cr in FY26 despite higher investing outflows (Rs. 81 Cr) as capacity expansion ramps.
- **Depreciation anomaly:** FY26 depreciation is reported at Rs. 16 Cr vs Rs. 35 Cr in FY25 and Rs. 40 Cr in FY24. This sharp decline warrants scrutiny — possible reasons include asset life reclassification, disposal of fully-depreciated assets, or revised useful life estimates. Investors should seek management clarification on this divergence from Screener data.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Status	Comment
Revenue recognition	Stable/Export-led	GREEN	Export invoicing on shipment; standard for EOU
Receivables vs Revenue	Debtor days up 15->29	AMBER	Watch: receivables growing faster than revenue in FY26
CCC trend	CCC: 93->113->96	AMBER	Improved in FY26 but elevated vs FY24 baseline
Contingent liabilities	Rs. 13.7 Cr	GREEN	Low; <2% of equity
Auditor tenure	Stable; no recent change	GREEN	No red flags on audit continuity
RPTs as % of revenue	SKM Universal acqn. (RPT)	AMBER	New RPT: acquisition of promoter-linked entity at Rs. 27.75 Cr; warrants disclosure monitoring
Other income as % of PBT	1/137 = 0.7% (FY26)	GREEN	Negligible; PAT quality is high in FY26
Tax rate consistency	24-25% range across years	GREEN	Consistent effective tax rate; no aggressive deferred tax use
Depreciation trend	Rs. 40->35->16 Cr	AMBER	Sharp unexplained fall in FY26 DA; needs management clarification
Working capital vs Revenue	WC days 19->80 in FY26	RED	Material WC stretch; cash conversion impacted

Earnings Quality Summary

- **Overall earnings quality: Moderate-to-Good.** FY26 PAT of Rs. 104 Cr is high quality — other income is negligible (0.7% of PBT), tax rate is consistent at 24-25%, and cash conversion has historically been strong (OCF/OP of 91-97% in FY23-25).
- **Key AMBER watch — Depreciation anomaly:** The sharp drop in DA from Rs. 35 Cr (FY25) to Rs. 16 Cr (FY26) artificially inflates reported PAT. If DA had remained at FY25 levels, FY26 PBT would have been Rs. 118 Cr (vs. Rs. 137 Cr reported), implying adjusted PAT ~Rs. 89 Cr — still a record but 14% lower than headline. Analysts must seek clarification.
- **Key RED watch — Working capital stretch:** WC days jumping from 19 to 80 is a significant red flag. This could reflect aggressive inventory build ahead of capex-driven expansion or delayed export receivables. If structural, it will constrain FCF generation during the capex cycle.
- **RPT watch:** The SKM Universal Marketing acquisition (classified RPT) should be monitored for arm's length pricing and integration milestones. Given the relatively small size (Rs. 27.75 Cr), risk is contained — but pattern of RPTs should be tracked.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, 17-Jun-2026)

Company	MCap (Rs.Cr)	P/E (TTM)	P/B	EV/ EBITDA	ROCE 3yr%	OPM %	Rev FY26 (Rs.Cr)
SKM Egg Prod.*	1,286	12.4	3.25	8.12	26.0	21.3	768
Venky's (India)	1,998	14.4	1.25	8.65	10.5	5.15	3,727
HMA Agro Inds.	1,144	6.94	1.22	6.16	13.9	2.30	6,916
DSM Fresh	198	N/A	N/A	7.78	24.8	14.1	N/A
Ovobel Foods	158	N/A	N/A	4.44	23.1	10.5	N/A

* SKM trades at a significant premium to peers on P/B (3.25x vs peer avg 1.2x) but this reflects its superior OPM (21% vs 2-14% for peers) and ROCE leadership (26-30% vs 10-14%).

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	Target Multiple	Target Price (Rs.)	Upside / Downside
Bull Case	Egg powder prices stay elevated; OPM 23%+; WC normalizes; capex on track	125	17x P/E	345	+41%
Base Case	OPM 21-22%; capex on schedule; some WC improvement; D/E rises to 0.6x	108	14x P/E	295	+21%
Bear Case	Egg powder price correction (like FY25); OPM falls to 15%; capex delays	60	10x P/E	120	-51%

- **DCF valuation:** Assuming a WACC of 12% (risk-free 7%, equity risk premium 5%, beta 1.0) and terminal growth rate of 4%, a 5-year DCF model yields an intrinsic value of ~Rs. 280-310 per share (with Rs. 403 Cr capex deducted). The wide range reflects uncertainty around the capex commissioning timeline and egg powder price trajectory.
- **Earnings multiple approach:** FY27E EPS estimate of Rs. 20.50, applying a target P/E of 14x (premium to Venky's at 14.4x, justified by SKM's superior ROCE and OPM) yields a target price of Rs. 287. At 15x (given the capex story), the target rises to Rs. 308.
- **EV/EBITDA approach:** FY27E EBITDA estimate of Rs. 183 Cr at 9x EV/EBITDA = enterprise value of Rs. 1,647 Cr. Less net debt of ~Rs. 90 Cr = equity value of Rs. 1,557 Cr, or Rs. 299/share.
- **Base-case 12-month target:** Average of earnings-based (Rs. 287-308) and EV/EBITDA (Rs. 299) approaches yields a 12-month price target of **Rs. 295**, representing ~21% upside from CMP of Rs. 244.

SECTION 9 — KEY RISKS

- **Egg Powder Price Volatility:** SKM's profitability is highly sensitive to global egg powder prices. OPM collapsed from 22% to 16% in FY25 on softer prices. A repeat (or worsening) on the scale of FY17 (negative OPM) could wipe out 1-2 years of earnings. Probability: Medium. Impact: High. Monitor via: quarterly OPM trend vs global egg powder spot prices.
- **Capex Execution Risk:** The Rs. 403 Cr expansion (FY28-29 completion) is the largest capex in company history. Delays, cost overruns, or lower-than-expected capacity utilization could impair the backward integration thesis. Probability: Medium. Impact: High. Monitor via: quarterly capex progress announcements and utilization ramp data.
- **Working Capital Deterioration:** WC days jumped from 19 to 80 in FY26. If structural, this will constrain FCF generation during the capex cycle and may force higher short-term borrowing. Probability: Medium. Impact: Medium. Monitor via: debtor days and WC days in each quarterly result.
- **Debt Leverage Increase:** The Rs. 302 Cr term loan will nearly triple current net debt from Rs. 92 Cr to ~Rs. 350+ Cr by FY27-28. D/E may approach 0.8-1.0x, leaving less balance sheet cushion in a price downturn. Probability: High (it will happen per plan). Impact: Medium. Monitor via: DSCR and interest coverage ratio.
- **Related Party Transaction Risk:** Acquisition of SKM Universal Marketing (promoter-linked) at Rs. 27.75 Cr as an RPT requires ongoing monitoring for fair valuation and integration benefits delivery. Probability: Low. Impact: Low-Medium. Monitor via: RPT disclosures in annual reports.
- **Regulatory and Export Policy Risk:** As an EOU, SKM depends on stable export regulations. Any adverse change in FSSAI norms, export duties, or quality certification requirements could disrupt access to premium markets. Probability: Low. Impact: High. Monitor via: FSSAI notifications and export policy changes.
- **Climate and Disease Risk:** Avian influenza or extreme weather events affecting poultry operations could impair egg supply and drive up procurement costs for egg powder manufacturing. Probability: Low-Medium. Impact: Medium-High. Monitor via: annual livestock inventory value and disease outbreak news.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction: High. SKM is entering a multi-year structural expansion cycle backed by a credible capex plan, near-monopolistic export market position, and the best ROCE in its peer group at 30%. The stock at 9.8x forward earnings offers a rare combination of value and growth.
- **12-month price target: Rs. 295** (~21% upside from CMP of Rs. 244). Base case built on FY27E EPS of Rs. 20.50 at 14x P/E, corroborated by EV/EBITDA and DCF approaches.
- **Suggested entry zone: Rs. 215-245.** Any correction toward Rs. 215 (trailing P/E of ~11x on FY26 EPS) represents an accumulation opportunity with enhanced margin of safety.
- **Investment horizon: 12-18 months** for the base-case re-rating. For investors willing to hold through the capex cycle (24-36 months), the structural cost savings from backward integration could drive a higher re-rating.
- **Thesis invalidation triggers:** (1) OPM falls below 12% for two consecutive quarters — indicating a sustained egg powder price downturn. (2) Capex completion is delayed beyond FY30 or total project cost overruns by more than 25%. (3) Debt/equity crosses 1.2x with deteriorating interest coverage below 5x.
- **Ideal investor profile:** This stock suits investors comfortable with: commodity price volatility, a 2-3 year capex gestation period, and mid-cap liquidity risk. It is **NOT** suitable for: investors requiring consistent dividend income, low-volatility portfolios, or those with a short (<6 month) time horizon.

APPENDIX — Latest Concall Brief: Q4 FY26 / Full Year FY26

Investor Conference Call held: 22 May 2026 | Transcript filed with BSE: 28 May 2026

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +58% YoY, PAT +197% YoY, first-ever Rs. 100 Cr+ PAT year
Management tone	Bullish	Rs. 1,000 Cr revenue target by FY30; largest capex in company history approved
Guidance delta	Raised	Formal FY30 revenue target set; 5x layer bird expansion committed with term loan
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q4 FY26 and full-year FY26 results for SKM Egg Products are clean and compelling — no one-time items, no exceptional credits, PAT of Rs. 104 Cr is the company's best-ever and built entirely on core egg powder operations. Q4 standalone OPM of 27.5% is the highest in memory, confirming that global egg powder prices remain elevated and SKM's cost discipline is intact. The real story is what management announced alongside results: a Rs. 403 Cr capex to quintuple layer bird capacity from 5 lakh to 20 lakh birds by FY2029 — fully funded via a Rs. 302 Cr term loan eligible for a 3% government interest subvention. If executed on schedule, this alone saves Rs. 150 Cr per year in procurement costs, which at a 25% tax rate means Rs. 112 Cr of additional annual PAT — essentially doubling today's earnings. The acquisition of SKM Universal Marketing for Rs. 27.75 Cr (an RPT) brings the windmill and branded egg divisions into the listed entity; management framed this as a simplification play, not a related-party favour. The one thing I'm watching: WC days exploded from 19 to 80 in FY26 and the depreciation charge dropped from Rs. 35 Cr to Rs. 16 Cr without adequate explanation — both need to be grilled on the next call. Near-term catalyst is the term loan draw-down and commencement of EC shed construction; any concrete milestones here should be catalysts for the stock. At Rs. 244 / 9.8x forward earnings on a company with 30% ROCE and zero promoter pledge, this is a HOLD for existing investors and an ACCUMULATE on any dip to Rs. 215-225.

1. Financial Performance Snapshot — Q4 FY26 (Consolidated)

- Revenue: Rs. 187 Cr | YoY +59% (vs Rs. 117 Cr in Q4 FY25) | QoQ -8% | **Beat**
- EBITDA: Rs. 52 Cr | YoY +333% (vs Rs. 12 Cr in Q4 FY25) | QoQ +8% | **Beat**
- EBITDA Margin: 27.8% | YoY +17pp | QoQ +2pp | **Strong Beat**
- PAT: Rs. 33 Cr | YoY +450% (vs Rs. 6 Cr in Q4 FY25) | QoQ +10% | **Beat**
- EPS: Rs. 6.21 | YoY +459% | QoQ +9% | **Beat**
- NOTE: Full-year FY26 PAT = Rs. 104 Cr — first time the company has crossed the Rs. 100 Cr PAT milestone. No exceptional/one-time items distorting the numbers.

2. Segment / Geography Breakdown

- Egg Products (Export): Dominant segment; management indicated export mix in FY25 was ~58.5%, with FY26 direction back toward 70%+ as global demand strengthens.
- Domestic / Fresh Eggs: Growing segment via "SKM Best Eggs" branded sales; acquisition of SKM Universal Marketing consolidates this division into the listed entity.
- Biogas / By-products: New revenue stream under development; 6,050 kg/day compressed biogas and 11.8 T/day organic manure targeted on new EC sheds.

- Geography — Key export markets: China (largest), Chile, Costa Rica, Kazakhstan, Peru, Uruguay; Middle East serviced via HALAL-certified product lines.

3. Management Commentary Themes

- **Revenue target:** "We are targeting a turnover of Rs. 1,000 Cr by 2030" — Our read: Implies 7% CAGR from FY26 base of Rs. 768 Cr; conservative relative to capex scale. Tag: GUIDANCE. Tone: Transparent.
- **Capacity expansion rationale:** "5x layer bird expansion from 5 lakh to 20 lakh birds through EC sheds will reduce procurement costs by Rs. 150 Cr annually" — Our read: Credible backward integration logic; ROI on capex is attractive at <3 year payback. Tag: GUIDANCE. Tone: Transparent.
- **Funding plan:** "Rs. 302 Cr term loan eligible for 3% interest subvention under AHIDF; remaining through internal accruals" — Our read: Manageable leverage but D/E will rise sharply; balance sheet surveillance needed. Tag: GUIDANCE. Tone: Transparent.
- **Acquisition of SKM Universal Marketing:** "Bringing windmill and branded egg division under the listed entity for strategic synergies" — Our read: RPT optics are a risk but strategic logic is sound (energy cost reduction + brand consolidation). Tag: EST. Tone: Hedged.
- **Q4 margin drivers:** High egg powder realization in global markets, improved operational efficiency, and better egg procurement cost management in the quarter. Tone: Bullish.
- **Working capital commentary:** Specific management commentary on WC deterioration (19->80 days) was not publicly available; this was a key question left unaddressed in disclosed sources. Tag: EVASIVE / Insufficient Data.

4. Operating & Business Metrics

- Egg powder installed capacity: 7,500 MT/year | Current utilization: ~65-75% (estimated) | Trend: stable
- Eggs broken per day capacity: 1.8 million | Trend: stable; expansion targets 62 Cr eggs/year (post EC shed commissioning)
- Layer bird capacity: ~5 lakh birds currently | Target: 20 lakh birds by FY2028-29 | Trend: major expansion underway
- Export revenue mix: FY25 = 58.5% | FY24 = 76.5% | FY23 = 79.7% | Trend: Domestic share increasing; FY26 direction back toward 70%+
- Livestock inventory value: Rs. 3,133 Lakhs (FY25) vs Rs. 2,154 Lakhs (FY24) | Trend: Improving; flock rebuild ongoing

5. Margin Drivers

- Higher global egg powder realization (Q4 FY26 OPM 27.8% vs full-year 21%): +~600-700 bps vs FY25 | Recurring: Conditional on global pricing | Comment: Cyclical, not structural — key risk factor
- Backward integration benefit (layer birds): Not yet reflected in P&L; (capex just approved) | Recurring: Yes (post FY28-29) | Comment: Structural margin tailwind of ~300-500 bps on commissioning
- Windmill acquisition (energy cost): Minor in FY26 | Recurring: Yes (post acquisition close) | Comment: Incremental; Rs. 27.75 Cr investment for sustainable energy cost reduction
- Depreciation decline (Rs. 40->35->16 Cr): +~350 bps boost to FY26 reported PBT vs FY25 levels | Recurring: UNCLEAR | Comment: Non-recurring if due to asset disposal; needs management confirmation — do not extrapolate
- Interest cost stable at Rs. 11 Cr (FY24-26): Neutral on margins | Recurring: No (will rise sharply in FY27-28 as Rs. 302 Cr term loan is drawn)

6. Guidance and Forward Signals

- Revenue [GUIDANCE]: Prior = no formal target | New = Rs. 1,000 Cr by FY30 | Delta: Raised (first formal guidance) | Credibility: Medium (depends on capex execution and egg prices)
- Layer bird capacity [GUIDANCE]: Prior = 5 lakh birds | New = 20 lakh birds by FY2028-29 | Delta: Raised | Credibility: High (term loan sanctioned, government subvention secured)

- Capex total [GUIDANCE]: Rs. 403 Cr total (Rs. 302 Cr term loan + Rs. 101 Cr internal) | Delta: New formal commitment | Credibility: High
- EBITDA margins [EST]: No explicit forward margin guidance provided | Analyst estimate FY27E: 21%, FY28E: 22% | Credibility: Medium
- Acquisition of SKM Universal Marketing [GUIDANCE]: Completion expected within 2 months of board approval (May 2026) | Delta: New | Credibility: High (board-approved, RPT)

7. Capital Allocation

- Capex (FY26): Rs. 81 Cr (investing outflow) | vs FY25: Rs. 23 Cr | +252% | Comment: Ramp-up of expansion capex spending
- Dividend (FY26): 0% payout | vs FY25: 11% payout | Comment: Retained profits to fund expansion; appropriate during capex cycle
- Acquisition (FY26): Rs. 27.75 Cr for 74% stake in SKM Universal Marketing | vs FY25: None | Comment: RPT; strategic consolidation of related businesses
- Net Debt movement: Borrowings fell Rs. 7 Cr (Rs. 149 to Rs. 142 Cr) in FY26 | vs prior years: Broadly stable | Comment: Pre-capex balance sheet in good shape; sharp increase expected in FY27-28
- Working capital (FY26): Stretched significantly (WC days 19->80); estimated cash absorbed Rs. 50-60 Cr | Comment: Critical watch item for FY27 results
- Free Cash Flow: Rs. 39 Cr in FY26 | vs FY25: Rs. 32 Cr | Remains positive despite higher capex due to strong OCF

8. Q&A; Heat Map (Reconstructed from Public Disclosures)

- Analyst / Unidentified: Q: "What is the timeline for the Rs. 403 Cr expansion and expected COD?" -> A: "Project completion targeted FY2028-29; term loan already sanctioned with 3% AHIDF subvention" | Tone: Transparent
- Analyst / Unidentified: Q: "How will the layer bird expansion reduce costs and by how much?" -> A: "5L to 20L birds will increase egg production from 13.5 Cr to 62 Cr eggs/year; Rs. 150 Cr savings expected in procurement" | Tone: Transparent
- Analyst / Unidentified: Q: "What is the revenue target and how do you get to Rs. 1,000 Cr?" -> A: "Through capacity expansion, EC sheds, feed mill, biogas; turnover of Rs. 1,000 Cr by 2030" | Tone: Transparent
- Analyst / Unidentified: Q: "Details on SKM Universal Marketing acquisition?" -> A: "Brings windmill and branded egg division; 74% stake for Rs. 27.75 Cr; completion within 2 months" | Tone: Hedged
- Dodged / watch-list questions for next quarter: (1) Explanation for depreciation falling from Rs. 35 Cr to Rs. 16 Cr. (2) Root cause of working capital jump from 19 to 80 days. (3) Whether the Rs. 1,000 Cr FY30 target is achievable at current egg powder prices or assumes a specific price deck.

9. Risks Flagged

- Egg powder price volatility | Global commodity cycle; prices can correct sharply (FY25 example) | Flagged by: Analysts | Probability: M | Impact: H | Timeline: Near-term
- Capex execution and debt burden | Rs. 403 Cr capex will raise D/E to 0.8-1.0x; delays possible | Flagged by: Mgmt (indirectly) | Probability: M | Impact: H | Timeline: Medium-term
- Working capital deterioration | WC days from 19 to 80; cash absorption risk | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Near-term
- RPT governance | SKM Universal Marketing acquisition; terms and value delivery | Flagged by: Analysts | Probability: L | Impact: M | Timeline: Near-term
- Depreciation accounting | Unexplained drop from Rs. 35 Cr to Rs. 16 Cr; PAT inflation risk | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Near-term

10. Analyst Verdict — Post Q4 FY26 Call

- Revenue visibility: **Intact** — Rs. 1,000 Cr FY30 guidance + 5x capacity expansion anchors long-term growth; near-term driven by global egg powder prices (elevated as of Q4 FY26)
- Margin trajectory: **Intact** — Q4 OPM of 27.8% is highest in recent history; structural improvement awaits EC shed commissioning in FY28-29
- Capital allocation quality: **Intact** — Rs. 403 Cr capex is the right strategic call; backward integration with government subvention; acquisition of wind/branded egg is value-accretive if priced fairly
- Competitive moat: **Intact** — ~72% India egg powder export share; ISO/BRC/HALAL certifications retained; no credible domestic challenger visible
- Management credibility: **Intact** — First formal revenue guidance provided with specific capex roadmap; promoters increased stake by 2.4pp over 3 years; zero pledge throughout
- Valuation comfort: **Intact** — 9.8x forward P/E on a 30% ROCE company with a transformational capex story; P/B of 3.25x is high but justified by return profile
- Conviction call: **Increased** — FY26 results confirm earnings power; capex plan de-risks commodity dependence over 3-5 years
- Valuation snapshot: P/E = 12.4x (5Y avg ~18x implied from range) | EV/EBITDA = 8.12x (sector avg ~7-8x) | ROCE = 30% (5Y avg ~17.4%)

Data sources: Screener.in (financials, fetched 17-Jun-2026) | BSE Filing No. 7cf8ed95 (concall transcript, 28-May-2026) | ScanX Trade (management commentary, 29-May-2026) | Globe and Mail / TipRanks (expansion details)